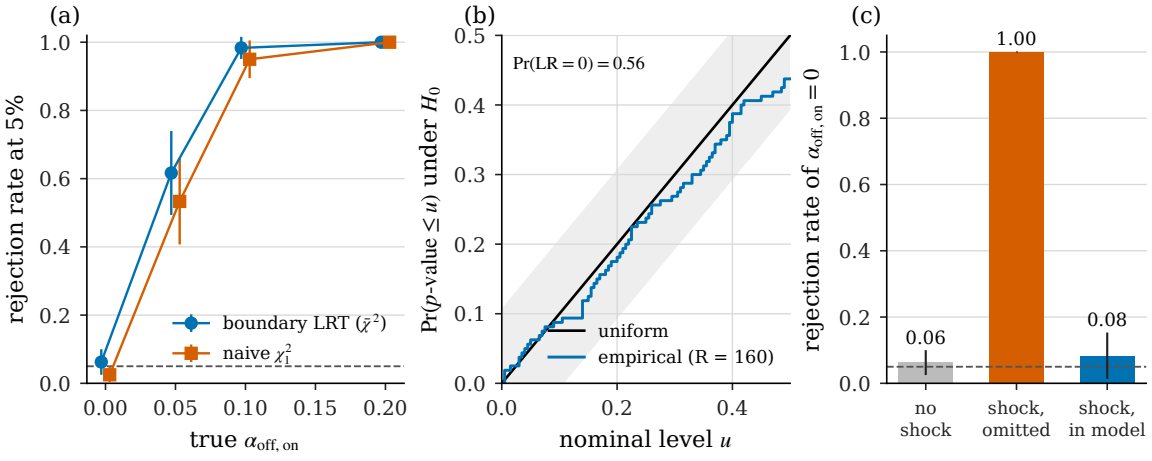
(a)
rejection rate at 5%
true $\alpha_{\text{off, on}}$
boundary LRT ($\bar{\chi}^2$)
naive χ^2_1
(b)
Pr(p-value $\leq u$) under H_0
nominal level u
Pr(LR = 0) = 0.56
uniform
empirical (R = 160)
(c)
rejection rate of $\alpha_{\text{off, on}} = 0$
1.00
0.06
0.08
no shock
shock, omitted
shock, in model